founded PayMate. Our mobile payment solution is simple to use, secured, and it's an absolutely hack-free model," says Adiseshann.

As of now, this payment solution is available for Citibank bank account holders, and can be used by credit card as well as debit card holders. In the near future, PayMate services will be available to customers of other major Indian banks.

"Mobile payment is a new payment option we have adopted along with credit cards, Net banking, cash on delivery, and cheque collection. We're using mobile payment for our e-commerce platform as it is simple to use, and more important, it offers security against disclosure of credit card details. We feel that this mode of payment would be adopted everywhere for shopping and other commercial transactions as well in the near future," says Manish Agarwal, Vice President, Marketing, Rediff.com.

Initially, PayMate tied up with leading online portals—Rediff.com, Naukri.com, Jeevansaathi.com, Travelmartindia.com, Indiatimes.com, Makemytrip.com, Cleartrip.com, and Fabmall.com. Gradually, their merchant base has expanded to over 2,500 merchants accredited with PayMate's mobile payment solution. PayMate's merchant base can be accessed at **www.paymate.co.in**.

The Working Model

PayMate's mobile payment solution requires just a basic mobile phone with SMS service. One can enter a transaction from anywhere. As of now, Airtel, BPL Mobile, Hutch, and Reliance customers can register with PayMate.

There's no SIM upgrade, GPRS connectivity, or installation of an application required for mobile payment using PayMate. Except for the registration process, all transactions happen via SMS. PayMate services are only available in English.

Citibank customers need to send an SMS "PAYMATE" to CITI (2484). The customer will receive a call back, and registration details would be sought.

Upon completion of registration, the customer will receive a four-digit PIN number as an SMS, which can be changed later, also via SMS. This PIN number is required for all future transactions. Merchants are registered with PayMate and the bank. For pursuing transactions, the merchants would need a mobile phone or a PC with Internet connectivity.

The merchant logs in to his account at the PayMate Web site, and feed in the phone number of the customer and the amount to be debited. Only the mobile number is required to be given to a merchant by the customer.

Within a minute or two, the person paying receives an SMS message seeking approval for the transaction with the amount to be paid to the merchant. "The initial waiting time has been set as three minutes, in order to compensate for possible delays in receipt of messages due to network congestion or any other errors," says Adiseshann. The SMS has to be replied with the command words "PAY [Alpha Code] PIN" within three minutes. The Alpha Code is a unique code that is auto-generated